And the gap grew alarmingly during the Covid pandemic. Some 84 per cent of households in India suffered a decline in income at the beginning of the pandemic. A new survey by think-tank PRICE (People's Research on India's Consumer Economy) reveals that the annual income of the poorest 20 per cent of households in India declined by around 53 per cent in 2020-21. In comparison, incomes of the top 20 per cent households grew by 39 per cent over the same period.

So, when Nirmala Sitharaman presented her budget on February 1, her challenge was not just to spur the pandemic-hit economy but also to make it more inclusive. To counter the adverse economic impact of the pandemic on the vulnerable, the Centre had in May 2020 announced a Rs 20 lakh crore economic bundle that included the Pradhan Mantri Garib Kalyan schemes worth Rs 1.7 lakh crore and support for the Mahatma Gandhi National Rural Employment Guarantee Act (MNREGA), MSMEs, migrant workers, street vendors, and agriculture and allied sectors. In addition, support to various schemes to provide housing, electricity, sanitation, cooking gas, drinking water, bank accounts for financial inclusion etc. continues.

Despite these measures, various studies claim that the share of the population in poverty has significantly gone up during the pandemic in India. Last year, an estimate by the Azim Premji University claimed that 230 million Indians were pushed into poverty amid the pandemic, while the Pew Research Center reports that the number of poor in India has more than doubled, from 60 million to 134 million, in just a year due to the pandemic-induced recession.

The big thrust on infrastructure in the current budget is aimed at generating jobs and triggering consumption, but it may not be enough as the cost of living has also multiplied in the past two years. If the dearth of employment opportunities has impacted incomes, two major sources of expenditure for any household—healthcare and education—also saw a massive jump in expenses.

The Oxfam report states that the cost of treatment of Covid-19 at a super-specialty private hospital can go up to 31 times the average monthly income of an Indian citizen. And it's not just Covid, out-of-pocket healthcare expenditure drove 55 million Indians into poverty in 2017. Similarly, education has been another sector severely impacted in the past two years. The sudden transition to digi-

THE BUDGETARY PUSH

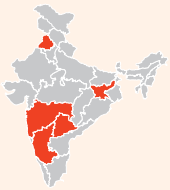
Several poor-performing states have tried to improve standards in healthcare and education by allocating a higher share of budgetary expenditure to these two sectors

FIVE LARGE STATES WITH HIGHEST SPENDING ON HEALTHCARE



Assam	7	**7.1**
Rajasthan	6.1	**7**
Himachal Pradesh	6.5	**6.7**
West Bengal	5.4	**6.7**
Andhra Pradesh	5	**6.6**

FIVE LARGE STATES WITH LOWEST SPENDING ON HEALTHCARE



Telangana	4.4	**3**
Punjab	4.2	**4**
Maharashtra	4.5	**4.4**
Jharkhand	4.9	**5.2**
Karnataka	4.5	**5.3**

Share of budgetary allocation to healthcare in ■ 2019-20 and ■ 2021-22 in percentage; the two time periods were chosen to indicate the expenditure before and after Covid

FIVE LARGE STATES WITH HIGHEST SPENDING ON EDUCATION



Assam	22	**19**
Bihar	19	**19**
Chhattisgarh	19	**19**
Himachal Pradesh	19	**19**
Rajasthan	18	**19**

FIVE LARGE STATES WITH LOWEST SPENDING ON EDUCATION



Telangana	10	**7**
Punjab	14	**12**
Karnataka	13	**13**
Tamil Nadu	15	**13**
Uttar Pradesh	15	**13**

Share of budgetary allocation to education in ■ 2015-20 and ■ 2021-22 in percentage; the two time periods were chosen to indicate the expenditure before and after Covid

Sources: State budgets and MoSPI

GOVERNMENT EXPENDITURE ON EDUCATION HOVERED AROUND 3 PER CENT OF GDP BETWEEN 2014 AND 2019, AGAINST THE HISTORIC TARGET OF 6 PER CENT OF GDP